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Exercise

I. Choose the Correct Answer

1. A Multinational Corporation can be defined as a firm which
   a) is beyond the control of any government
   b) is one of the top 200 firms in the world
   c) owns companies in more than one country
   d) All the above
2. Centralised control in MNC's implies control exercised by
   a) Branches b) Subsidiaries
   c) Headquarters d) Parliament
3. Enterprises operating in several countries but managed from one country is termed as _____
   a) Government company
   b) Multinational Company
   c) Private company
   d) Joint Venture
4. Dispersal of decision making power to branches/affiliates/subsidiaries by head office represents _____
   a) Centralisation b) Decentralisation
   c) Power d) Integration
5. Coca-Cola company is an example of _____
   a) MNC
   b) Government company
   c) Joint Venture
   d) Public company

Answers

1. c 2. c 3. b 4. b 5. a

II. Very Short Answer Questions

1. Define Multinational Company.
2. Write any two advantages of MNC.
3. Give two examples of MNC.
4. Name the type of business enterprise which operates in more than one country.

III. Short Answer Questions

1. What are the advantages of MNC's?
2. What are the disadvantages of MNC's?

Reference

1. Mathur, B.S, Business Organisation
2. Shukula, M.C. Business Organisation.

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